

INSURANCE THROUGH THE YEARS



1818

First life insurance company (Oriental Life Insurance Company) was established in India

1850

First general insurance company (The Triton Insurance Company Ltd) was launched

1956

245 life insurers were nationalised to create the Life Insurance Corporation of India

1972

107 non-life insurers were nationalised to form the General Insurance Corporation of India and its four subsidiaries



1993

The government formed a panel headed by former RBI Governor R. N. Malhotra to look at reforms in the sector

2000

The Insurance Regulatory and Development Authority of India is set up

2000

Private sector allowed in insurance; FDI capped at 26%



2015

FDI limit increased to 49% via the Insurance Laws (Amendment) Act, 2015

2021

FDI limit raised to 74% through amendments to the Insurance Act



2025

Proposal for 100% FDI announced in the Union Budget, though full implementation still awaited

of India (LIC), the biggest in the life insurance space by quite a distance, has decided to buy a stake in a standalone private health insurer as it looks to strengthen its hold. It is in discussion to acquire a 40-49% stake in ManipalCigna Health Insurance.

Besides, the proposed composite licence to allow insurers to offer products across categories could blur the lines between the companies and allow a bigger play for those with ambition and deep pockets. Add to that the continuing digital disruption in the space and the ingredients for a battle royale are in place.

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THE INDIAN INSURANCE INDUSTRY has come a long way since Independence. The first major policy move in this space was the amalgamation of 241 life insurers, both domestic firms and branches of foreign firms, to create the LIC in 1956.

A decade-and-a-half later, the government trained its sights on the general insurance space. Here, 107 general insurers, including branches of foreign insurers, were amalgamated and grouped into four public sector companies—National Insurance Company, New India Assurance Company, Oriental Insurance Company, and United India Insurance Company. The General Insurance Corporation came a year later, which in turn held share in the four general insurers.

The two decades after that momentous decision were marked by a diversification of business beyond metros, as the public sector monopolies were tasked with increasing insurance penetration.

But by the time the government embarked on a liberalisation drive to loosen its grip on business, there were signs of dissatisfaction among many customers. The Centre set up a commission headed by former Reserve Bank of India Governor R.N. Malhotra to recommend ways of opening up the insurance sector.